Like the ECF of 2015–16, which resulted in transfer of 100 per cent surplus of 2015–16 to the government despite being very hawkish and designed to retain surplus for RBI, the ECF of 2019–20 delivered 100 per cent surplus for 2018–19 to the government. However, like the 2015–16 framework, which started hurting the government in 2016–17, the 2019–20 framework struck in the distribution of surplus of 2019–20.

RBI retained Rs 73,615 crore of the surplus of Rs 1,30,747 crore of financial year 2019–20. There was no public protest by the government. However, the retention of 56 per cent of the surplus, amounting to Rs 73,615 crore, is quite a large amount, more so in a year when the economy was hit hard by the pandemic.

Undoubtedly, the battle will begin again and the government will seek a review of the ECF recommended by the Bimal Jalan Committee.

RBI Buried Jalan Committee in 2021

RBI reported massive increase in its total income for 2018–19, the first year of the Jalan Committee, of Rs 1,93,036 crore (as against total income of Rs 61,818 crore in 2016–17 and Rs 78,281 crore in 2017–18). Total income for 2019–20 was reported at Rs 1,49,672 crore. For the nine-month financial year 2020–21, total income reported is Rs 1,33,273 crore.

RBI uses the head ‘exchange gain/loss from foreign exchange transactions’ to book abnormal income by selling or buying securities simultaneously. For 2018–19, the first year of implementation of the Jalan Committee recommendations, RBI’s abnormal income under this head was Rs 28,998 crore. In the same year, RBI used excess realized income reserves of Rs 52,618 crore (‘provision no longer required and miscellaneous income’) to distribute surplus. Thus, an income of Rs 81,616 crore was ‘abnormal income’ in 2018–19; the normal total income for the year being only Rs 1,11,420 crore. For 2019–20, RBI’s abnormal income was Rs 29,993 crore and normal/real total income for 2019–20 was Rs